

Indonesia Data Centre Sector

Fiscal Cost of Tax Incentives — Portfolio Summary

45 Facilities (23 Operational | 12 Under Construction | 10 Planned) | March 2026

IDR 373.9T	IDR 118.2T	IDR 19.1T	IDR 0.8T	IDR 138.1T
Total Investment	Tax Holiday Cost	Super Deduction Cost	SEZ VAT Exemption	Grand Total Fiscal Cost
(USD 24.1B)	(over holiday periods)	(6 yrs post-holiday)	(Nongsa KEK only)	(all incentives combined)

FISCAL COST BREAKDOWN BY INVESTMENT TIER (PMK 69/2024)

Investment Tier	N	Investment (IDR T)	Holiday Years	Holiday Cost (IDR T)	Super Ded. Cost (IDR T)	VAT (IDR T)	Total (IDR T)
Below IDR 100B	2	0.14	0	0.000	0.000	0.000	0.000
IDR 100B–500B	2	0.64	5	0.043	0.042	0.018	0.103
IDR 500B–1T	3	2.34	5	0.157	0.079	0.000	0.236
IDR 1T–5T	19	47.72	7	6.379	2.283	0.119	8.781
IDR 5T–15T	14	98.36	10	18.460	4.616	0.659	23.735
IDR 15T–30T	2	41.85	15	9.458	1.577	0.000	11.035
Above IDR 30T	3	182.90	20	83.737	10.468	0.000	94.205
Grand Total	45	373.95	—	118.234	19.065	0.796	138.095

Holiday Cost = investment × 12% profit × CIT forfeited rate × holiday years. Super Ded. Cost = investment × 5% × CIT forfeited rate × 6 years. VAT = investment × 35% × 11% (KEK Nongsa facilities only).

GOVERNMENT REVENUE FOREGONE: ANNUAL COST AND 20-YEAR PROJECTION

Incentive	Annual Cost (IDR T/yr)	% of GDP (2024 GDP)	20-Year Total (IDR T)	Notes
Tax Holiday (CIT)	7.613	0.034%	118.234	Avg. run-rate; max 20-yr holiday
Super Deduction (PP 78)	3.174	0.014%	19.044	6 yrs post-holiday; 5%/yr deduction
SEZ VAT Exemption (Nongsa)	0.265	0.001%	0.796	One-off; amortised over 3-yr build
Grand Total	11.052	0.050%	138.074	All incentives combined

Annual cost for Tax Holiday = sum of (investment × 12% × CIT forfeited rate) across all facilities with an active holiday. Annual cost for Super Deduction = sum of (investment × 5% × CIT forfeited rate) during the 6-year deduction window. Annual cost for SEZ VAT = total exemption (IDR 0.796T) ÷ 3 years assumed construction period. Indonesia 2024 nominal GDP = IDR 22,139T (BPS). 20-year totals reflect full contractual periods, not a uniform 20-year stream.

PILLAR 2 BEPS IMPACT ON FISCAL COST

Pillar 2 Status	Facilities	CIT Forfeited	Holiday Cost	Super Ded. Cost	VAT
In scope (revenue >€750M, margin >10%)	18	7% above 15% floor	14.024	2.622	0.119
Not in scope	27	22% full statutory	104.210	16.443	0.677
Total	45	—	118.234	19.065	0.796

Pillar 2 in-scope entities pay a minimum 15% effective CIT globally; Indonesia forfeits only 7% (22%–15%), as the home jurisdiction collects the top-up tax. Non-Pillar 2 entities pay 0% during the holiday: Indonesia forfeits the full 22% statutory rate.

TOP 5 FISCAL COST EXPOSURES

Facility	Operator	P2	Holiday Cost	Super Ded.	Total (IDR T)
CGK4 Jatiluhur (500 MW)	BDx Indonesia	No	40.920	5.115	46.035
CGK Campus (500 MW)	Digital Edge (Indonet)	No	36.828	4.604	41.432
JC3 (120 MW)	Princeton Digital	No	6.138	1.023	7.161
Cikarang DC (144 MW)	DAMAC Digital	Yes	5.989	0.749	6.738
Indonesia Central Cloud Region	Microsoft	Yes	3.320	0.554	3.874

BDx and Digital Edge together account for **IDR 87.5T** (63%) of the grand total fiscal cost, driven by 500 MW capacity commitments on 20-year holidays with no Pillar 2 constraint.

Methodology & Key Assumptions

Indonesia Data Centre Fiscal Cost Analysis — March 2026

A. INVESTMENT VALUES

1. **Primary sources:** Confirmed investment figures are drawn from operator press releases, project financing announcements (DBS/UOB, BCA, IIF, green-loan facilities), CEO statements, and due-diligence media (Data Centre Dynamics, Jakarta Globe, Kontan).
2. **Imputation for undisclosed values:** Where no public figure exists, investment is estimated using a tiered cost-per-MW model: Tier IV at USD 10M/MW (confirmed from DCI Deputy President benchmark); standard Tier III at USD 6.5M/MW (weighted average across 8 confirmed anchor points); legacy Tier III (<2015) at USD 4–5M/MW.
3. **Reference investment for tax computations:** For operational facilities, `investment_idr_trillion` is used. For Under Construction and Planned facilities, `planned_investment_idr_trillion` is used. For K2 JKT1 (both columns populated), the larger full-campus planned value (IDR 5.92T) is applied as it represents the total committed project.
4. **Exchange rate:** IDR 15,500 / USD 1 (March 2026 spot mid-rate).

B. PROFITABILITY ASSUMPTION

5. **Annual profit = investment × 12%.** This is a sector-level approximation of steady-state EBIT margin on total capital deployed, consistent with published Tier III/IV hyperscale data centre benchmarks (typical range: 10–15% EBIT on invested capital).
6. This is a simplification: it ignores ramp-up periods, capital recycling, leverage effects, and asset-light structures (e.g. Oracle leasing from DayOne).

C. TAX HOLIDAY (PMK 69/2024)

7. **CIT statutory rate:** 22% (Indonesia corporate income tax, effective from FY2023 onward under UU HPP).
8. **Tiered holiday structure** (from PMK 69/2024, amending PMK 130/PMK.010/2020):
 - Below IDR 100B: no holiday (below threshold)
 - IDR 100B–500B: 50% CIT reduction, 5 years
 - IDR 500B–1T: 100% CIT reduction, 5 years
 - IDR 1T–5T: 100% reduction, 7 years
 - IDR 5T–15T: 100% reduction, 10 years
 - IDR 15T–30T: 100% reduction, 15 years
 - Above IDR 30T: 100% reduction, 20 years
9. **Fiscal cost formula:** Investment × 12% (annual profit) × CIT forfeited rate × holiday years.
10. **Post-holiday transition:** Under PMK 69/2024, a 2-year partial CIT reduction (25–50%) applies immediately after the holiday ends. This transition period is *not separately costed* in this analysis.

D. BEPS PILLAR 2 — GLOBAL MINIMUM TAX

11. **Scope criteria:** An operator is classified as Pillar 2 in-scope if its MNE group meets *both*: (i) consolidated group revenue exceeding €750M, and (ii) a group profitability (operating income / revenue) exceeding 10%.
12. **CIT forfeited (Pillar 2 in scope):** Indonesia forfeits only 7% (= 22% statutory – 15% GloBE minimum floor). The remaining 15% is collected by the parent jurisdiction as a top-up tax (Qualified Domestic Minimum Top-up Tax or Income Inclusion Rule).
13. **CIT forfeited (not in scope):** Indonesia forfeits the full 22% statutory rate.
14. **Result:** 18 of 45 facilities (40%) are Pillar 2 in-scope, representing IDR 16.8T (12%) of the total fiscal cost. Pillar 2 meaningfully limits Indonesia's revenue loss only for the in-scope minority.

E. SUPER DEDUCTION — TAX ALLOWANCE (PP 78/2019)

15. **Legal basis:** Government Regulation No. 78/2019 (updated by PMK 81/2024) provides a 30% net income reduction on total realized investment, applied at 5% per year over 6 years starting after the tax holiday ends.
16. **Eligible sectors:** Data centres (KBLI 63111 — digital hosting and data processing) are explicitly included in the 183 qualifying business fields.
17. **Annual deduction:** Investment × 5% (reduces taxable income for 6 years post-holiday).
18. **Taxable income during super deduction period:** Investment × (12% – 5%) = Investment × 7%.
19. **Fiscal cost of super deduction:** Annual deduction × CIT forfeited rate × 6 years (7% for Pillar 2 in-scope; 22% for others).
20. **Exception:** Facilities below IDR 100B (no holiday) receive no post-holiday super deduction benefit under this analysis.

F. SEZ VAT EXEMPTION

21. **Qualifying SEZ:** Only facilities within KEK Nongsa Digital Park (Batam), designated by Presidential Regulation on 8 June 2021. No other facility in the portfolio has confirmed formal KEK status.
22. **VAT rate:** Effective 11% (12% statutory $\times$ 11/12 mechanism under PMK-131/2024 for standard capital goods).
23. **Exempt investment basis:** 35% of total investment is assumed to represent VAT-able capital goods (plant and equipment, fit-out). Land, financial instruments, and services subject to reverse-charge are excluded.
24. **VAT exemption formula:** Investment $\times$ 35% $\times$ 11%.
25. **Four SEZ facilities:** PDG Batam Campus (IDR 0.401T), DayOne Nongsa (IDR 0.258T), Oracle Nongsa (IDR 0.119T), Gaw Capital Batam (IDR 0.018T). Total: IDR 0.796T.

*Disclaimer: This analysis is based on publicly available information, operator disclosures, and sector benchmarks. All investment figures, particularly those marked as imputed (*investment_imputed* = 1), carry estimation uncertainty. Fiscal cost figures should be interpreted as indicative order-of-magnitude assessments, not legal or accounting determinations. The interaction between PMK 69/2024 tax holidays, PP 78/2019 tax allowances, and OECD Pillar 2 GloBE rules is subject to Indonesian implementing legislation still under development as of March 2026.*

Fiscal Scenario Analysis

Scenarios A & B — Expanded Incentive Cost Projections

March 2026 | GDP reference: IDR 22,139T (2024 BPS); 2030 est. IDR 34,167T (7.5% p.a.)

SCENARIO A — EXPANSION TO 2,000 MW BY 2030

Scenario A models an expansion from the 526 MW operational baseline to 2,000 MW by 2030, adding 1,474 MW of new capacity at IDR 111B/MW (blended benchmark). New entrants are modelled at 43% GMT-subject MNEs / 57% non-GMT, with a 10-year CIT holiday. No new SEZ concessions are assumed.

Metric	Baseline (526 MW)	Scenario A — 2,000 MW (2030)
Operational MW	526 MW	2,000 MW
Incremental MW	—	+1,474 MW
Total investment (cumulative)	IDR 76.1T	IDR 239.7T
Annual CIT cost (peak, 10-yr avg.)	IDR 1.57T	IDR 4.62T
Annual cost (% 2024 GDP)	0.007%	0.021%
Annual cost (% 2030 GDP est.)	0.005%	0.014%
Cumulative fiscal cost	IDR 18.0T	IDR 53.2T

Annual CIT cost = cumulative CIT holiday ÷ 10 years. Scenario A incremental: CIT +IDR 30.5T, SD +IDR 4.7T, total +IDR 35.2T on top of baseline. Future entrants modelled at 43% GMT (7% net CIT forfeiture) / 57% non-GMT (22% forfeiture); 10-yr holiday assumed for all new builds.

SCENARIO B — EXPANSION TO 3,000 MW BY 2030

Scenario B models a full expansion to 3,000 MW by 2030, adding 2,474 MW from the 526 MW baseline at IDR 111B/MW. Entrant mix and holiday structure are identical to Scenario A.

Metric	Baseline (526 MW)	Scenario B — 3,000 MW (2030)
Operational MW	526 MW	3,000 MW
Incremental MW	—	+2,474 MW
Total investment (cumulative)	IDR 76.1T	IDR 350.7T
Annual CIT cost (peak, 10-yr avg.)	IDR 1.57T	IDR 6.69T
Annual cost (% 2024 GDP)	0.007%	0.030%
Annual cost (% 2030 GDP est.)	0.005%	0.020%
Cumulative fiscal cost	IDR 18.0T	IDR 77.1T

Scenario B incremental (on top of baseline): CIT +IDR 51.2T, SD +IDR 7.8T, total +IDR 59.1T. Same 43%/57% GMT/non-GMT split and 10-yr holiday as Scenario A.

VAT / IMPORT DUTY — UNIVERSAL EXTENSION (COMBINED SCENARIOS)

Extends the existing SEZ VAT exemption (11%) and import duty waiver (2.5%) to all operators on the equipment share (35% of investment). Shown only in combination with Scenario A or B; evaluated on the respective investment base.

Component	Equip. Base (IDR T)	VAT (IDR T)	Duty (IDR T)	Total (IDR T)
Combined A + VAT (2,000 MW)	83.9	9.228	2.097	11.326
Combined B + VAT (3,000 MW)	122.7	13.500	3.068	16.569

Equipment base = 35% of total investment (Scenario A: IDR 239.7T; Scenario B: IDR 350.7T). Annualised over 3-year construction phase: Combined A IDR 3.78T/yr; Combined B IDR 5.52T/yr.

COMBINED SCENARIO SUMMARY

Scenario	Annual Cost (IDR T/yr)	% 2024 GDP	% 2030 GDP (est.)	Cumulative (IDR T)
Baseline (526 MW operational)	1.57	0.007%	0.005%	18.0
Scenario A — 2,000 MW by 2030	4.62	0.021%	0.014%	53.2
Scenario B — 3,000 MW by 2030	6.69	0.030%	0.020%	77.1
Combined A + VAT Exemption	8.40	0.038%	0.025%	64.4
Combined B + VAT Exemption	12.22	0.055%	0.036%	93.5

Annual cost = annual peak CIT + annualised VAT+Duty (÷3 yr). Cumulative = total over incentive periods. Combined A + VAT: Scenario A CIT/SD plus IDR 11.3T VAT+Duty on IDR 83.9T equipment base. Combined B + VAT: Scenario B CIT/SD plus IDR 16.6T VAT+Duty on IDR 122.7T equipment base. GDP 2024 = IDR 22,139T (BPS); 2030 GDP estimated at IDR 34,167T assuming 7.5% nominal annual growth.